

FA565 Business Ethics and Corporate Governance

Week 7:
Board of Directors pt 2
Division of Responsibilities

Mark Elliot



2. Division of Responsibilities

Principles F-I

Division of Responsibilities

Principle F

“The chair leads the board and is responsible for its **overall effectiveness** in directing the company. They should demonstrate objective judgement throughout their tenure and promote a culture of openness and **debate**. In addition, the chair facilitates constructive board relations and **the effective contribution of all non-executive directors**, and ensures that directors receive accurate, timely and clear information.”

Principle G

“The board should include an appropriate combination of executive and non-executive (and, in particular, independent non-executive) directors, such that no one individual or small group of individuals dominates the board’s decision-making. There should be a clear division of responsibilities between the leadership of the board and the executive leadership of the company’s business.”

Principle H

—

“Non-executive directors should have sufficient time to meet their board responsibilities. They should provide constructive challenge, strategic guidance, offer specialist advice and hold management to account.”

Principle I

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“The board, supported by the company secretary, should ensure that it has the policies, processes, information, time and resources it needs in order to function effectively and efficiently.”

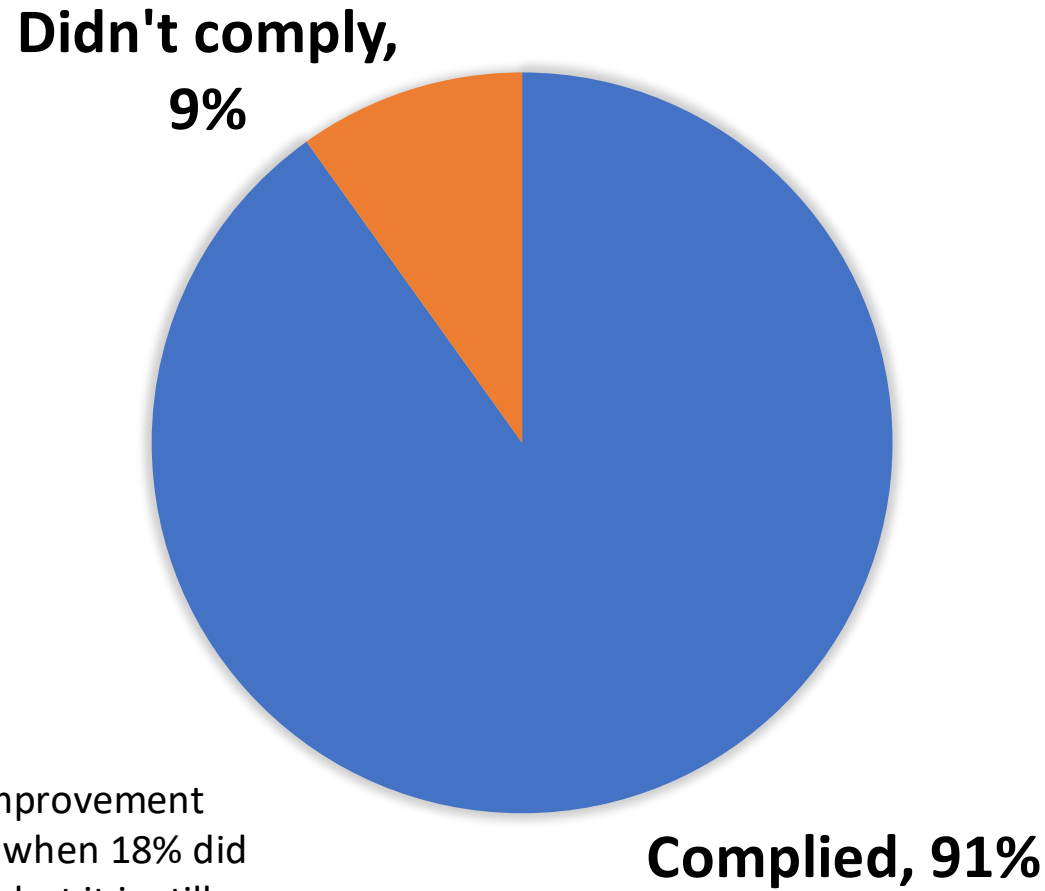
Provisions 9-16

Division of Responsibilities

Provision 9

- The Chair should be independent upon appointment
- The roles of Chair and Chief Executive (CEO) should not be exercised by the same individual
- A Chief Executive should not become Chair of the same company

Compliance with Provision 9



This is an improvement from 2021, when 18% did not comply, but it is still one of the least complied with provisions of the Code

Reasons included:

- Chair and CEO role was combined
- Chair represented a significant shareholder

FRC Review of Corporate Governance
Reporting, November 2023

https://media.frc.org.uk/documents/Review_of_Corporate_Governance.pdf

Group Discussion

What are the possible consequences of a company not applying Provision 9?

Provision 9:

- The Chair should be independent upon appointment
- The roles of Chair and Chief Executive (CEO) should not be exercised by the same individual
- A Chief Executive should not become Chair of the same company

Provision 10

The board should identify in the annual report each non-executive director it considers independent.

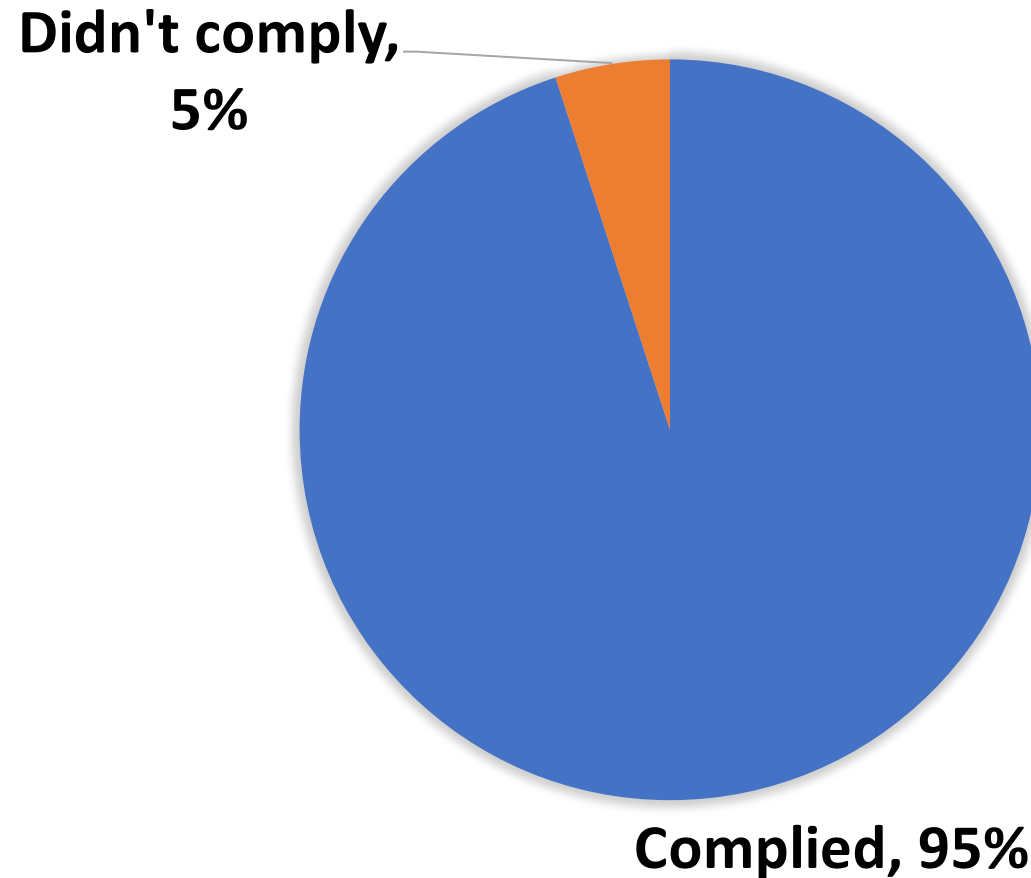
Circumstances that could impair, or appear to impair, independence include:

- Is/has been an employee of the company/group within the last 5 years;
- Has/has had within the last 3 years, a material business relationship with the company, directly or indirectly;
- Receives/has received additional remuneration from the company apart from the director's fee (inc. share options, pensions, etc.)
- Has close family ties with the company's advisors/directors/senior employees;
- Holds cross-directorships or has significant links with other directors through other companies;
- Represents a significant shareholder; or
- Has served on the board for more than 9 years from the date of their first appointment.

Provision 11

At least half the board, including the chair, should be non-executive directors whom the board considers to be independent.

Less than half the board comprised of independent NEDs



Provision 12

The non-executive directors should meet without the chair present at least annually, to appraise the chair's performance, and on other occasions as necessary.

Provision 13

Non-executive directors have a prime role in appointing and removing executive directors. Non-executive directors should scrutinise and hold to account the performance of management and individual executive directors against agreed performance objectives. The chair should hold meetings with the non-executive directors without the executive directors present.

Exercise

<https://www.about.sainsburys.co.uk/~media/Files/S/Sainsburys/documents/reports-and-presentations/2022/Annual%20Report%202022/J%20Sainsbury%20plc%20Annual%20Report%20and%20Financial%20Statements%202022.pdf>

Using the Sainsbury's 2022 Annual Report (p54 onwards), answer the following questions.

- How many Executives are there on the Board of Directors?
- Who is both on Operating Board and the Board of Directors?
- How many Non-Executive directors are on board and what are their backgrounds?
- Evaluate how well Sainsbury's has met the requirements of Principle G of the UK Corporate Governance Code, including Provisions 10-13.
 - Pay particular attention to:
 - Board composition (pp54 -57)
 - Division of responsibilities (p64)
 - Nomination committee report (p68)

Provision 14

The responsibilities of the chair, chief executive, senior independent director, board and committees should be clear, set out in writing, agreed by the board and made publicly available.

The annual report should set out the number of meetings of the board and its committees, and the individual attendance by directors.

Attendance Example – Sainsbury's Plc 2022

The following table shows the attendance of Directors at scheduled Board meetings. The Board held eight scheduled meetings during the year, together with several unscheduled meetings which were well attended by all Directors.

Martin Scicluna	8(8)	David Keens ²	3(3)
Brian Cassin	8(8)	Kevin O'Byrne	8(8)
Jo Harlow	8(8)	Susan Rice	8(8)
Adrian Hennah ¹	8(8)	Simon Roberts	8(8)
Tanuj Kapilashrami	8(8)	Keith Weed	8(8)

The maximum number of scheduled meetings held during the year that each Director could attend is shown in brackets.

1. Adrian Hennah joined the Board on 1 April 2021.
2. David Keens stepped down from the Board on 9 July 2021.

Attendance at the scheduled Nomination Committee meetings:

Martin Scicluna	3(3)	Tanuj Kapilashrami	3(3)
Brian Cassin	3(3)	David Keens ¹	1(1)
Jo Harlow	3(3)	Susan Rice	3(3)
Adrian Hennah	2(2)	Keith Weed	3(3)

The number of meetings held during the year is shown in brackets.

1. David Keens stepped down from the Board on 9 July 2021.

Attendance at scheduled Audit Committee meetings:

Adrian Hennah ¹	3(3)	Keith Weed	4(4)
Brian Cassin	4(4)	David Keens ²	1(1)

The maximum number of meetings held during the year that each Director could attend is shown in brackets.

1. Adrian joined the Board on 1 April 2021.
2. David Keens retired from the Board on 9 July 2021.

The Committee held four scheduled meetings within the year, together with a number of unscheduled meetings. Attendance of Directors at scheduled Remuneration Committee meetings:

Susan Rice	4(4)	Jo Harlow	4(4)
Tanuj Kapilashrami	4(4)		

The maximum number of meetings held during the year that each Director could attend is shown in brackets.

Attendance at scheduled Committee meetings:

Jo Harlow	3(3)	Martin Scicluna	3(3)
Simon Roberts	3(3)	Keith Weed	3(3)

The maximum number of meetings held during the year that each Director could attend is shown in brackets.

Provision 15

When making new appointments, the board should take into account other demands on directors' time.

- Prior to appointment, significant commitments should be disclosed with an indication of the time involved.
- Additional external appointments should not be undertaken without prior approval of the board, with the reasons for permitting significant appointments explained in the annual report.
- Full-time executive directors should not take on more than one non-executive directorship in a FTSE 100 company or other significant appointment.

Multi-Directorship

The Journal of

FINANCE

The Journal of THE AMERICAN FINANCE ASSOCIATION

Are Busy Boards Effective Monitors?

ELIEZER M. FICH, ANIL SHIVDASANI

First published: 09 March 2006 | <https://doi.org/10.1111/j.1540-6261.2006.00852.x> | Citations: 812

ABSTRACT

Firms with busy boards, those in which a majority of outside directors hold three or more directorships, are associated with weak corporate governance. These firms exhibit lower market-to-book ratios, weaker profitability, and lower sensitivity of CEO turnover to firm performance. Independent but busy boards display CEO turnover-performance sensitivities indistinguishable from those of inside-dominated boards. Departures of busy outside directors generate positive abnormal returns (ARs). When directors become busy as a result of acquiring an additional directorship, other companies in which they hold board seats experience negative ARs. Busy outside directors are more likely to depart boards following poor performance.

Provision 16

All directors should have access to the advice of the company secretary, who is responsible for advising the board on all governance matters. Both the appointment and removal of the company secretary should be a matter for the whole board.

Activity

Associated British Foods Plc

Associated British Foods Plc

Use the extract from Associated British Food Plc's Annual Report to answer the questions.

Give FIVE examples of how Associated British Foods PLC has complied with the UK Corporate Governance Code to maintain the independence of the Board of directors as a whole.

Associated British Foods Plc

How might the 'independence' of non-executive directors be defined in the Code?

Evaluate how Associated British Foods PLC has complied with the Code in terms of independence of each individual non-executive director.

What contributions can an independent non-executive director of Associated British Foods PLC make to a robust corporate governance structure in the company?